

B S R & Associates LLP

Chartered Accountants

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Limited Review Report on consolidated financial results of Granules India Limited for the quarter and six months ended as at 30 September 2017 pursuant to the Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Review report")

To the Board of Directors of Granules India Limited

1. We have reviewed the accompanying statement of unaudited consolidated financial results ('Statement') of Granules India Limited ('the Company'), its subsidiaries and jointed ventures listed in Annexure - I (collectively "the Group") for the quarter and six months ended 30 September 2017, attached herewith, being submitted by the Company pursuant to the requirement of Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('SEBI Regulations, 2015') read with SEBI Circular No. CIR/CFD/FAC/62/2016 dated 5 July 2016.
2. This Statement is the responsibility of the Company's Management ("Management") and has been approved by the Board of Directors of the Company in their meeting held on 9 November 2017. Our responsibility is to issue a report on this Statement, based on our review.
3. We conducted our review in accordance with the Standard on Review Engagement (SRE) 2410, "Review of Interim Financial Information Performed by the Independent Auditor of the Entity" issued by the Institute of Chartered Accountants of India. This standard requires that we plan and perform the review to obtain moderate assurance as to whether the Statement is free of material misstatement. A review is limited primarily to inquiries of Company's personnel and analytical procedures applied to financial data and thus provide less assurance than an audit. We have not performed an audit and accordingly, we do not express an audit opinion.
4. We did not review the interim financial results of the two subsidiaries included in the Statement whose interim financial results reflect total assets of INR 52,804 lakhs as at 30 September 2017, total revenue of INR 11,647 lakhs and INR 19,573 lakhs for the quarter and six months ended 30 September 2017 respectively and a net profit after tax of INR 102 lakhs for the quarter ended 30 September 2017 and a net loss after tax of INR 21 lakhs for the six months ended 30 September 2017 respectively as considered in the Statement. These interim financial results have been reviewed by other auditor whose report has been furnished to us by the Management and our report on the Statement in so far as it relates to the amounts and disclosures included in respect of these subsidiaries is based solely on the reports of the other auditor.
5. The unaudited consolidated financial results also include the Group's share of net profit after tax of INR 486 lakhs and 789 lakhs for the quarter and six months ended 30 September 2017 respectively as considered in the Statement, in respect of two joint ventures, whose interim financial results has not been reviewed by us. As set out in Note 11 to the Statement and as represented by the Management of the Company, the amounts included herein have been based on interim financial information of the said joint ventures and have not been subjected to a review. We are unable to comment on the consequential impact that may have been required had the financial information of the joint ventures been subjected to review.

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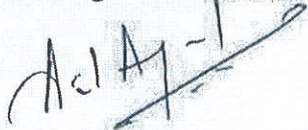
Review report (continued)

6. Based on our review conducted as mentioned above, except for the possible impact, if any, of our observations as mentioned in paragraph 5 above, nothing has come to our attention that causes us to believe that the accompanying Statement for the quarter and six months ended 30 September 2017 prepared in accordance with the applicable accounting standard i.e. Indian Accounting Standards ("Ind AS") prescribed under Section 133 of Companies Act, 2013 read with relevant rules issued thereunder and other recognised accounting practices and policies, has not disclosed the information required to be disclosed in terms of Regulation 33 of the SEBI Regulation, 2015 read with SEBI Circular No. CIR/CFD/FAC/62/2016 dated 5 July 2016 including the manner in which it is to be disclosed, or that it contains any material misstatement.
7. The unaudited consolidated financial results for the previous quarter ended 30 June 2017, comparative corresponding quarter and six months ended 30 September 2016 and the Ind AS financial statements of the Company for the year ended 31 March 2017 are based on the previously issued results of the Company prepared in accordance with the applicable accounting standard i.e. Indian Accounting Standards ("Ind AS") prescribed under Section 133 of Companies Act, 2013, reviewed/ audited by the predecessor auditors, whose review/ audit report expressed an unmodified opinion on those financial results on 14 August 2017, 25 October 2016 and 11 May 2017, respectively.

for **B S R & Associates LLP**

Chartered Accountants

ICAI Firm Registration Number: 116231W/ W-100024



Amit Kumar Agarwal

Partner

Membership No: 214198

Place: Hyderabad

Date: 9 November 2017

Review report *(continued)*

Annexure – I

The Statement includes the results of the following entities:

Subsidiaries:

Granules USA Inc. (USA)

Granules Pharmaceutical Inc. (USA)

Granules Europe Limited (UK)

Joint Ventures:

Hubei Granules Biocause Pharmaceutical Co. Ltd. (China)

Granules Omnichem Private Limited (India)

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Rs in lakhs

Statement of Consolidated Un-Audited Results for the quarter and half year ended September 30, 2017

Sl No.	Particulars	Quarter ended			Half-Year ended		Year ended
		30.09.2017 Un-Audited	30.06.2017 Un-Audited	30.09.2016 Un-Audited	30.09.2017 Un-Audited	30.09.2016 Un-Audited	31.03.2017 Audited
	Revenue from operations (Refer note 4)	39,255.97	38,473.73	36,380.61	77,729.70	71,360.65	1,43,525.34
	Other income	683.24	132.48	388.29	815.72	691.77	992.53
1	Total income	39,939.21	38,606.21	36,768.90	78,545.42	72,052.42	1,44,517.87
2	Expenses						
	(a) Cost of materials consumed	21,789.19	19,225.38	16,376.58	41,014.57	33,961.30	67,996.46
	(b) Changes in inventories of work in progress and finished goods	(2,019.80)	(1,228.49)	1,825.16	(3,248.29)	1,702.00	(33.28)
	(c) Excise duty on sales	-	722.60	540.23	722.60	1,147.06	2,468.81
	(d) Employee benefits expense	4,225.31	3,904.31	3,397.82	8,129.62	6,787.83	14,018.97
	(e) Finance costs	1,041.00	820.84	828.71	1,861.84	1,623.19	3,225.63
	(f) Depreciation/amortisation expense	1,859.36	1,760.23	1,846.99	3,619.59	3,481.28	7,151.27
	(g) Other expenses	7,570.19	8,250.04	6,820.40	15,820.23	13,491.96	29,190.58
	Total expenses	34,465.25	33,454.91	31,635.89	67,920.16	62,194.62	1,24,018.44
3	Profit before exceptional items and tax (1-2)	5,473.96	5,151.30	5,133.01	10,625.26	9,857.80	20,499.43
4	Exceptional items	-	-	-	-	-	-
5	Profit before tax (3-4)	5,473.96	5,151.30	5,133.01	10,625.26	9,857.80	20,499.43
6	Tax expense						
	Current tax	1,908.65	1,728.83	1,641.04	3,637.48	3,502.62	6,607.20
	Deferred tax	17.68	44.73	(80.40)	62.41	(404.50)	(87.07)
7	Net Profit after Tax (5-6)	3,547.63	3,377.74	3,572.37	6,925.37	6,759.68	13,979.30
8	Share in Profit of joint ventures	486.02	302.42	510.05	788.44	1,218.75	2,472.61
9	Net Profit for the period (7+8)	4,033.65	3,680.16	4,082.42	7,713.81	7,978.43	16,451.91
	Other Comprehensive income						
	(i) items that will not be reclassified to profit or loss	-	-	-	-	-	155.79
	(ii) income tax relating to items that will not be reclassified to profit or loss	-	-	-	-	-	(53.92)
	(iii) items that will be reclassified to profit or loss	(79.81)	5.36	(14.49)	(74.45)	86.39	45.05
10	Other Comprehensive income, net of tax	(79.81)	5.36	(14.49)	(74.45)	86.39	146.92
11	Total Comprehensive income for the period (9+10)	3,953.84	3,685.52	4,067.93	7,639.36	8,064.82	16,598.83
12	Paid-up equity Share Capital (Face Value of Re.1/- per share)	2,537.68	2,288.03	2,171.62	2,537.68	2,171.62	2,287.03
13	Earnings per Share (Face value Re. 1/- each) (not Annualised)						
	(a) Basic (in Rs.)	1.76	1.61	1.88	3.36	3.68	7.52
	(b) Diluted (in Rs.)	1.75	1.60	1.85	3.35	3.62	7.48

1 The above unaudited financial results for the quarter and half year ended September 30, 2017 have been reviewed by the Audit Committee on November 08, 2017 of the Board and approved by the Board of Directors at their meeting held on November 09, 2017.

2 The Auditors of the Company have carried out Limited Review of the financial results for the quarter and half year ended September 30, 2017.

3 The subsidiaries and joint venture companies considered for the consolidated financial statements as on September 30, 2017 are Granules USA Inc., Granules Pharmaceuticals Inc., Granules

Europe Limited (together known as "Subsidiaries") and Hubei Granules Biocause Pharmaceutical Co. Ltd. and Granules Omnichem Pvt Ltd (together known as "joint ventures").

4 Post implementation of Goods and Service Tax ("GST") with effect from 1 July 2017, revenue from operations is disclosed net of GST. For the periods prior to July 01, 2017, the excise duty amount was recorded as part of revenue with a corresponding amount recorded in cost of revenue. Accordingly, revenue from operations for the quarter and half year ended September 30, 2017 are not comparable with those of the previous period presented.

5 The Company has adopted the option under Ind AS 101 "First-time Adoption of Indian Accounting Standards" and has continued the policy adopted for adjustment of exchange differences arising from translation of long term foreign currency monetary items in so far as it relates to acquisition of depreciable assets to the cost of the assets. Pursuant to the Notification No.G.S.R.913(E), dt.29.12.2011 issued by the Ministry of Corporate Affairs, the company had opted to capitalise foreign currency gains and losses on loans utilised for purchase of fixed assets.

- During the quarter, foreign currency loss of Rs.45.23 lakhs (foreign currency gain of Rs.203.24 lakhs for the quarter ended September 30, 2016) was transferred to fixed assets.

6 As per regulation 33 of the Listing Regulations, the Company has opted to publish only consolidated financial results. The standalone financial results are available for perusal at Company's website viz., www.granulesindia.com and websites of BSE (www.bseindia.com) and NSE (www.nseindia.com).

7 The Company operates only in the segment of Pharmaceuticals.

8 During the quarter, the Company has allotted 2,10,000 equity shares of Re.1/- each, fully paid up on exercise of options by employees in accordance with the Company's Employee Stock Option Scheme(s).

9 In accordance with the provisions of Chapter VIII of the Securities Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2009, as amended (the SEBI ICDR Regulations) and pursuant to the approval accorded by the shareholders in the Extra-Ordinary General Meeting held on June 12, 2017, the Company has raised a sum of Rs. 30,015.19 lakhs during the current quarter by allotment of 2,47,54,792 equity shares of Re.1/- each at a premium of Rs.120.25 per share through Qualified Institutions Placement.



10 The Board of Directors at their meeting held on November 09, 2017 has declared second interim dividend of 25 paise per equity share of Re.1/- each.

11 The financial results include the Company's share of profits (net) aggregating of Rs. 486.02 lakhs for quarter ended September 30, 2017 and half-year ended Rs. 788.44 lakhs from joint ventures in which the Company is Co-venturer. These financial results are based on the management certified financial information of the joint ventures. As the joint ventures do not present reviewed financial results on a quarterly basis, amount included therein have not been subject to review by the Statutory Auditors of the respective joint ventures.

12 Standalone Results for the quarter and half year ended are as under -

Particulars	Rs in lakhs					
	Quarter ended			Half Year ended		Year ended
	30.09.2017	30.06.2017	30.09.2016	30.09.2017	30.09.2016	31.03.2017
	Un-Audited	Un-Audited	Un-Audited	Un-Audited	Un-Audited	Audited
Revenue from Operations	37,352.75	39,436.21	34,146.30	76,788.96	68,502.23	1,37,416.90
Profit Before Tax	5,357.09	5,289.38	4,793.30	10,646.47	9,988.75	20,680.32
Profit After Tax	3,563.63	3,550.76	3,349.71	7,114.39	6,909.17	14,282.67

13 Consolidated Balance sheet

Sl.No.	Particulars	Rs in lakhs	
		As at	As at
		September 30, 2017	March 31, 2017
		(Unaudited)	(Audited)
A	ASSETS		
	Non-current assets		
	Property, plant and equipment	60,291.79	56,872.54
	Capital work-in-progress	29,142.52	13,025.96
	Other Intangible assets	7,519.67	7,561.30
	Intangible assets under development	19,187.22	13,716.78
	Financial assets		
	Investments	12,929.21	10,822.94
	Loans	1,307.10	-
	Income tax assets (net)	-	237.46
	Other non-current assets	4,134.03	2,589.15
		1,34,511.54	1,04,826.13
	Current assets		
	Inventories	28,897.35	26,917.84
	Financial assets		
	Trade receivables	51,046.93	41,770.02
	Cash and cash equivalents	13,980.29	4,270.15
	Bank balances other than Cash and cash equivalents above	714.77	709.78
	Loans	147.00	158.82
	Others	35.12	247.46
	Other current assets	12,630.42	8,742.34
		1,07,451.88	82,816.41
	Total Assets	2,41,963.42	1,87,642.54
B	Equity and Liabilities		
	Equity		
	Equity share capital	2,537.68	2,287.03
	Other equity	1,23,555.08	88,072.51
	Total equity	1,26,092.76	90,359.54
	Liabilities		
	Non-current liabilities		
	Financial liabilities		
	Borrowings	25,211.08	12,424.23
	Non-current provisions	926.68	724.95
	Deferred tax liabilities (net)	5,712.11	5,649.86
		31,849.87	18,799.04
	Current liabilities		
	Financial liabilities		
	Borrowings	51,093.31	47,383.30
	Trade payables	23,456.29	21,597.56
	Other financial liabilities	6,648.47	8,376.40
	Other current liabilities	853.46	966.26
	Current tax liabilities (net)	1,119.74	-
	Short term provisions	849.52	160.44
		84,020.79	78,483.96
	Total Equity and Liabilities	2,41,963.42	1,87,642.54

for and on behalf of the Board

Hyderabad
Krishna Prasad Chigurupati
Chairman and Managing Director

Place : Hyderabad
Date : November 09, 2017

Chartered Accountants

Telephone : +91 40 7182 2000
Fax : +91 40 7182 2399

1. We have reviewed the accompanying statement of unaudited standalone financial results ('Statement') of Granules India Limited ('the Company') for the quarter and six months ended 30 September 2017, attached herewith, being submitted by the Company pursuant to the requirement of Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('SEBI Regulations, 2015') read with SEBI Circular No. CIR/CFD/FAC/62/2016 dated 5 July 2016.
2. This Statement is the responsibility of the Company's Management and has been approved by the Board of Directors of the Company in their meeting held on 9 November 2017. Our responsibility is to issue a report on this Statement, based on our review.
3. We conducted our review in accordance with the Standard on Review Engagement (SRE) 2410, "Review of Interim Financial Information Performed by the Independent Auditor of the Entity" issued by the Institute of Chartered Accountants of India. This standard requires that we plan and perform the review to obtain moderate assurance as to whether the Statement is free of material misstatement. A review is limited primarily to inquiries of Company's personnel and analytical procedures applied to financial data and thus provide less assurance than an audit. We have not performed an audit and accordingly, we do not express an audit opinion.
4. Based on our review conducted as above, nothing has come to our attention that causes us to believe that the accompanying Statement for the quarter and six months ended 30 September 2017 prepared in accordance with the applicable accounting standard i.e. Indian Accounting Standards ("Ind AS") prescribed under Section 133 of Companies Act, 2013 read with relevant rules issued thereunder and other recognised accounting practices and policies, has not disclosed the information required to be disclosed in terms of Regulation 33 of the SEBI Regulation, 2015 read with SEBI Circular No. CIR/CFD/FAC/62/2016 dated 5 July 2016 including the manner in which it is to be disclosed, or that it contains any material misstatement.

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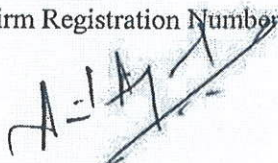
Review report (continued)

5. The unaudited standalone financial results for the previous quarter ended 30 June 2017, comparative corresponding quarter and six months ended 30 September 2016 and the Ind AS financial statements of the Company for the year ended 31 March 2017 are based on the previously issued results of the Company prepared in accordance with the applicable accounting standard i.e. Indian Accounting Standards ("Ind AS") prescribed under Section 133 of Companies Act, 2013, reviewed/ audited by the predecessor auditors, whose review/ audit report expressed an unmodified opinion on those financial results on 14 August 2017, 25 October 2016 and 11 May 2017, respectively.

for B S R & Associates LLP

Chartered Accountants

ICAI Firm Registration Number: 116231W/ W-100024



Amit Kumar Agarwal

Partner

Membership No: 214198

Place: Hyderabad

Date: 9 November 2017

Rs in lakhs

Statement of Standalone Un-Audited Results for the quarter and half year ended September 30, 2017

Sl No.	Particulars	Quarter ended			Half Year ended		Year ended
		30.09.2017	30.06.2017	30.09.2016	30.09.2017	30.09.2016	
		Un-Audited	Un-Audited	Un-Audited	Un-Audited	Un-Audited	Audited
	Revenue from operations (Refer note 4)	37,352.75	39,436.21	34,146.30	76,788.96	68,502.23	1,37,416.90
	Other income	1,010.95	394.87	348.29	1,405.82	872.61	1,452.02
1	Total income	38,363.70	39,831.08	34,494.59	78,194.78	69,374.84	1,38,868.92
2	Expenses						
	(a) Cost of materials consumed	20,510.60	19,030.02	16,261.84	39,540.62	33,448.64	67,077.83
	(b) Changes in inventories of work in progress and finished goods	(1,156.58)	1,241.98	817.41	85.40	1,116.30	(1,220.03)
	(c) Excise duty on sales	-	722.60	540.23	722.60	1,147.06	2,468.81
	(d) Employee benefits expense	3,743.39	3,430.09	3,047.08	7,173.48	6,080.11	12,581.00
	(e) Finance costs	1,039.86	818.23	821.46	1,858.09	1,618.90	3,216.41
	(f) Depreciation/amortisation expense	1,851.46	1,752.41	1,842.97	3,603.87	3,473.50	7,135.16
	(g) Other expenses	7,017.88	7,546.37	6,370.30	14,564.25	12,501.58	26,929.42
	Total expenses	33,006.61	34,541.70	29,701.29	67,548.31	59,386.09	1,18,188.60
3	Profit before exceptional items and tax (1-2)	5,357.09	5,289.38	4,793.30	10,646.47	9,988.75	20,680.32
4	Exceptional items	-	-	-	-	-	-
5	Profit before tax (3-4)	5,357.09	5,289.38	4,793.30	10,646.47	9,988.75	20,680.32
6	Tax expense						
	Current tax	1,729.42	1,680.44	1,578.22	3,409.86	3,347.28	6,362.95
	Deferred tax	64.04	58.18	(134.63)	122.22	(267.70)	34.70
7	Net Profit after Tax (5-6)	3,563.63	3,550.76	3,349.71	7,114.39	6,909.17	14,282.67
	Other Comprehensive income						
	(i) items that will not be reclassified to profit or loss	-	-	-	-	-	155.79
	(ii) income tax relating to items that will not be reclassified to profit or loss	-	-	-	-	-	(53.92)
8	Other Comprehensive income, net of tax	-	-	-	-	-	101.87
9	Total Comprehensive income for the period (7+8)	3,563.63	3,550.76	3,349.71	7,114.39	6,909.17	14,384.54
10	Paid-up equity Share Capital (Face Value of Re.1/- per share)	2,537.68	2,288.03	2,171.62	2,537.68	2,171.62	2,287.03
11	Earnings per Share (Face value Re. 1/- each) (not Annualised)						
	(a) Basic (in Rs.)	1.55	1.55	1.54	3.10	3.18	6.53
	(b) Diluted (in Rs.)	1.55	1.55	1.52	3.09	3.12	6.49

1 The above unaudited financial results for the quarter and half year ended September 30, 2017 have been reviewed by the Audit Committee on November 08, 2017 of the Board and approved by the Board of Directors at their meeting held on November 09, 2017.

2 The Auditors of the Company have carried out Limited Review of the financial results for the quarter and half year ended September 30, 2017.

3 The Company has adopted the option under Ind AS 101 "First-time Adoption of Indian Accounting Standards" and has continued the policy adopted for adjustment of exchange differences arising from translation of long term foreign currency monetary items in so far as it relates to acquisition of depreciable assets to the cost of the assets. Pursuant to the Notification No.G.S.R.913(E), dt.29.12.2011 issued by the Ministry of Corporate Affairs, the company had opted to capitalise foreign currency gains and losses on loans utilised for purchase of fixed assets.

- During the quarter, foreign currency loss of Rs.45.23 lakhs (foreign currency gain of Rs.203.24 lakhs for the quarter ended September 30, 2016) was transferred to fixed assets.

4 Post implementation of Goods and Service Tax ("GST") with effect from 1 July 2017, revenue from operations is disclosed net of GST. For the periods prior to July 01, 2017, the excise duty amount was recorded as part of revenue with a corresponding amount recorded in cost of revenue. Accordingly, revenue from operations for the quarter and half year ended September 30, 2017 are not comparable with those of the previous period presented.

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6 The Company operates only in the segment of Pharmaceuticals.

7 During the quarter, the Company has allotted 2,10,000 equity shares of Re.1/- each, fully paid up on exercise of options by employees in accordance with the Company's Employee Stock Option Scheme(s).

8 In accordance with the provisions of Chapter VIII of the Securities Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2009, as amended (the SEBI ICDR Regulations) and pursuant to the approval accorded by the shareholders in the Extra-Ordinary General Meeting held on June 12, 2017, the Company has raised a sum of Rs. 30,015.19

lakhs during the current quarter by allotment of 2,47,54,792 equity shares of Re.1/- each at a premium of Rs.120.25 per share through Qualified Institutions Placement.

9 The Board of Directors at their meeting held on November 09, 2017 has declared second interim dividend of 25 paise per equity share of Re.1/- each.



Sl.No.	Particulars	As at September 30, 2017	As at March 31, 2017
		(Unaudited)	(Audited)
A	Assets		
	Non-current assets		
	Property, plant and equipment	56,842.50	53,057.37
	Capital work-in-progress	20,735.12	12,001.58
	Other Intangible assets	7,456.20	7,500.61
	Intangible assets under development	1,521.78	1,229.31
	Financial assets		
	Investments	7,511.58	7,511.50
	Loans	34,428.07	17,985.29
	Income tax assets(net)	-	466.78
	Other non-current assets	3,916.98	2,394.63
		1,32,412.23	1,02,147.07
	Current assets		
	Inventories		
	22,184.25	23,758.77	
	Financial assets		
	Trade receivables	58,104.15	46,831.27
	Cash and cash equivalents	13,338.93	3,226.70
	Bank balances other than Cash and cash equivalents above	714.77	709.78
	Loans	137.95	139.21
	Others	3.35	25.13
	Other current assets	12,555.24	8,658.95
		1,07,038.64	83,349.81
	Total Assets	2,39,450.87	1,85,496.88
B	Equity and Liabilities		
	Equity		
	Equity share capital	2,537.68	2,287.03
	Other equity	1,21,106.22	86,148.58
	Total equity	1,23,643.90	88,435.61
	Liabilities		
	Non-current liabilities		
	Financial liabilities		
	Borrowings	25,211.08	12,424.24
	Non-current provisions	926.68	724.95
	Deferred tax liabilities (net)	6,524.91	6,402.69
		32,662.67	19,551.88
	Current liabilities		
	Financial liabilities		
	Borrowings	51,093.31	47,383.30
	Trade payables	22,757.48	20,989.67
	Other financial liabilities	6,573.21	8,042.20
	Other current liabilities	853.47	933.78
	Current tax liabilities (net)	1,017.31	-
	Short term provisions	849.52	160.44
		83,144.30	77,509.39
	Total Equity and Liabilities	2,39,450.87	1,85,496.88

for and on behalf of the Board


 Krishna Prasad Chigurupati
Chairman and Managing Director

 Place : Hyderabad
Date : November 09, 2017